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Uncovering 500+ documentation gaps across a government infrastructure entity's controls

A state government-owned infrastructure and housing entity engaged Sthiros for a 6-month internal audit to assess control effectiveness and strengthen financial governance.



Client	Service	Sector	Geography
A State Government-Owned Infrastructure & Housing Entity	**Internal Audit, Financial Controls & Governance**	**Public Sector, Infrastructure & Housing Development**	**India**

The Challenge:

When manual, decentralised processes run a multi-project public entity

This entity, responsible for construction, maintenance, and housing development across multiple locations, operated with manual, decentralised processes and limited system-driven controls, creating significant risk in fund utilisation, contractor management, and statutory compliance.

Weak Financial Controls & Fund Monitoring

No integrated system tracked project-wise fund utilisation, with budget overruns occurring across expense heads without structured approvals.

Documentation & Process Inefficiencies

Record-keeping was entirely manual, with no defined SOPs or Delegation of Authority, and hundreds of documentation gaps across processes.

Compliance & Contractor Governance Risks

Contractor compliance tracking for EPF, ESI, and GST was absent, exposing the entity to statutory liability as principal employer.

The Solution:

A multi-dimensional audit and control enhancement framework

Sthiros ran a comprehensive internal audit across financial controls, documentation, contractor governance, and audit visibility, translating scattered risk into a structured, actionable control framework.

Every gap was traced back to source documents and approval chains, giving management the visibility and audit trail needed for statutory readiness.

The internal audit provided us with deep visibility into our operational and financial gaps. The structured recommendations have helped us strengthen controls, improve documentation practices, and enhance compliance readiness across the division.

The Methodology

1 Financial Control Strengthening

Gaps in budget versus actual monitoring identified, with project-level fund tracking and structured approval controls for budget overruns recommended.

2 Documentation & Process Standardisation

An SOP-driven framework designed across payment processing, tender and contract management, and record maintenance, with digitisation recommended for audit trail retrieval.

3 Contractor & Compliance Governance

A compliance checklist defined covering EPF/ESI registration, GST and KYC documentation, with strengthened contractor onboarding and deposit tracking recommended.

4 Audit Visibility & Control Mechanisms

Structured audit tracking introduced for documentation deviations, missing approvals, and process lapses, with aging analysis and reconciliation mechanisms highlighted.

What This Means

Manual records hide the risk.

SOPs outlast any one person.

Reconcile deposits before they pile up.

Outcomes

500+

Documentation gaps identified

Across payment processing, tender records, and contractor files.

170+

Tender & register discrepancies

Missing or incomplete entries identified across the tender process.

100+

Completion reports pending closure

Projects flagged for outstanding closure documentation.

Rs.10+Cr

Contractor deposits flagged

Identified for reconciliation and control, with no clear tracking previously in place.

Get in touch

Is your governance framework audit-ready, or just assumed?

Speak to Sthiros about what a structured internal audit can unlock for your organisation's governance.

Connect with us:
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